

Growth of CRED UPI in Digital Payment

Introduction:

The digital payment industry in India has experienced remarkable growth over the last decade due to the widespread use of smartphones, affordable internet services, and government initiatives promoting cashless transactions. Today, millions of people use digital payment platforms for online shopping, bill payments, money transfers, and financial management. This rapid transformation has created opportunities for innovative fintech companies to introduce user-friendly and secure financial services. Among these companies, CRED has emerged as one of the most successful and unique digital platforms.

CRED is an Indian fintech company founded in 2018 by Kunal Shah. It is designed primarily for individuals with good credit scores and aims to reward responsible financial behavior. Unlike traditional payment applications, CRED focuses on credit card bill payments while offering users exclusive rewards, cashback, discounts, and premium lifestyle benefits. The platform has attracted a large number of educated and financially responsible users, making it one of the leading fintech startups in India.

The growth of CRED has been driven by its innovative business model, attractive reward system, and customer-centric approach. By encouraging users to pay their credit card bills on time, CRED has promoted financial discipline while creating a premium digital experience. Over the years, the company has expanded its services beyond credit card bill payments to include rent payments, personal loans, UPI payments, shopping, investments, insurance, and other financial products. This expansion has strengthened its position in the digital payment ecosystem.

India's increasing adoption of digital payments has further contributed to CRED's success. The introduction of the Unified Payments Interface (UPI), along with the government's Digital India initiative, has encouraged millions of consumers to shift from cash-based

transactions to digital payment methods. CRED has effectively utilized these developments by providing secure, fast, and convenient payment solutions with advanced technology and strong data security measures.

Another important factor behind CRED's growth is its focus on customer trust and user experience. The application offers a simple interface, quick payment processing, and personalized financial insights. It also uses advanced technology and artificial intelligence to provide customized recommendations and improve customer engagement. Its marketing campaigns, celebrity endorsements, and referral programs have significantly increased brand awareness among young professionals and urban consumers.

Despite its rapid growth, CRED faces competition from major digital payment platforms such as PhonePe, Google Pay, Paytm, and Amazon Pay. However, its exclusive focus on premium customers and financial responsibility differentiates it from its competitors. The company continues to innovate by introducing new financial services and expanding its digital ecosystem to meet changing customer needs.

In conclusion, CRED has become an important player in India's digital payment industry by combining technology, financial services, and customer rewards into a single platform. Its unique approach has transformed the way many users manage their credit cards and digital payments. The continued growth of digital transactions, increasing smartphone penetration, and advancements in financial technology are expected to provide further opportunities for CRED's expansion in the coming years. Studying the growth of CRED helps us understand the evolving nature of digital payments, fintech innovation, and consumer behavior in the modern digital economy.

Unlike mass-market payment apps, CRED positioned itself as an exclusive product for financially disciplined users. This premium positioning made the app stand out in a crowded market and created a strong brand identity around trust, design, and rewards

Growth in digital payments:

CRED's growth accelerated when it moved beyond bill payment into broader payment use cases. By FY24, the company said total payment value rose 55% to Rs 6.87 trillion, monthly transacting users increased 34%, and adoption of P2P UPI payments and CRED Pay helped expand usage beyond credit card bills.

The platform also benefited from stronger monetisation and better user economics. CRED reported a 66% rise in revenue to Rs 2,473 crore in FY24, while operating losses fell 41% to Rs 609 crore, reflecting both growth in paying members and a 40% drop in customer

OBJECTIVES:

- 1.To analyze the growth and adoption of CRED UPI among users in the digital payment ecosystem.
2. To examine the factors influencing customer preference for CRED UPI, such as convenience, rewards, security, and ease of use.
3. To evaluate the impact of CRED UPI on digital payment transactions, including transaction frequency, user engagement, and payment behavior.
4. To identify the challenges and opportunities for CRED UPI in expanding its market share and enhancing customer satisfaction in the digital payments industry.

REVIEW OF LITERATURE:

1. Sahoo, Patnaik & Satpathy (2024)

Sahoo et al. examined the adoption of the Unified Payments Interface (UPI) in India through a literature review. The study found that UPI's interoperability, ease of use, security, and real-time transactions have significantly accelerated digital payment adoption. The authors concluded that fintech platforms such as CRED benefit from the widespread acceptance of UPI, enabling seamless financial transactions.

2. Rai (2025)

Rai analyzed the role of UPI in transforming India's payment ecosystem. The study reported that UPI has become the dominant retail payment system due to innovations such as QR code payments, UPI Lite, and credit card linkage. The research suggests that fintech companies, including CRED, leverage these innovations to expand customer engagement and merchant payments.

3. Motheram & Buteau (2026)

This study investigated supply-side drivers of digital payment adoption across India. The findings indicated that merchant network expansion, digital infrastructure, and smartphone penetration significantly influence UPI growth. These factors have created opportunities for CRED UPI to expand among urban and premium users.

4. Mandavi, Bhatia & Gupta (2026)

The researchers analyzed the growth of UPI from 2016 onward and found exponential increases in transaction volume due to interoperability, low transaction costs, and government support. The study concluded that UPI has become the backbone of India's digital payment ecosystem, providing a strong foundation for fintech applications such as CRED UPI.

5. Rao & Upadhyaya (2026)

The authors examined small merchants' acceptance of UPI payment applications. Their findings showed that ease of use, trust, and perceived usefulness positively affect merchant adoption. The study suggests that fintech apps like CRED can strengthen merchant acceptance by providing reliable payment experiences and value-added financial services.

6. Dev et al. (2024)

The study explored how UPI influences consumer spending behavior. The researchers found that digital payments increase spending convenience and reduce reliance on cash. The findings imply that CRED UPI's user-friendly interface and rewards ecosystem may encourage higher transaction frequency among users.

7. Dahiphale et al. (2024)

This research focused on improving trust and safety in UPI transactions using artificial intelligence for fraud detection. The study emphasized that advanced security mechanisms are essential for sustaining user confidence. Such technological improvements are highly relevant for CRED UPI as it expands its digital payment services.

8. Gopi & Kannan (2025)

The authors reviewed empirical studies on UPI's contribution to India's cashless economy. They concluded that UPI has substantially improved financial inclusion, payment efficiency, and economic growth. The review highlights that fintech firms such as CRED contribute to this ecosystem by offering innovative digital payment experiences.

9. Reuters Industry Report (2026)

A Reuters report discussed CRED's participation in policy discussions concerning NPCI's proposed UPI checkout framework. The report highlights CRED's growing role in India's digital payment industry and its focus on maintaining competition and innovation within the UPI ecosystem.

10. Economic Times / RBI Payments Report (2026)

Based on RBI payment statistics, UPI accounts for the majority of India's retail digital payment transactions. The report indicates continued growth in UPI adoption, creating significant opportunities for fintech platforms such as CRED UPI to increase their market presence through differentiated services and customer engagement.

Company Profile Summary:

CRED is an Indian financial technology (FinTech) company founded in 2018 by Kunal Shah. Headquartered in Bengaluru, Karnataka, the company initially focused on rewarding users for paying their credit card bills on time. Over the years, CRED has evolved into a comprehensive digital financial platform by offering services such as UPI payments, credit card bill payments, lending, wealth management, rent payments, and merchant payments. The launch of CRED UPI marked a significant step in the company's expansion into India's rapidly growing digital payments ecosystem. Unlike traditional UPI applications, CRED targets financially responsible users with good credit histories, providing a premium payment

experience along with exclusive rewards, cashback offers, and lifestyle benefits. This strategy has enabled the company to build a loyal customer base and increase user engagement.

CRED has experienced strong growth in digital payments by integrating UPI with its existing financial services. The company has steadily increased its share of UPI transaction volumes while continuing to strengthen its position in credit card payments. Its platform combines convenience, security, and personalised rewards, encouraging users to adopt CRED as their preferred payment application.

The company has also expanded its ecosystem through products such as CRED Pay, CRED Money, CRED Garage, and CRED Rewards, transforming itself into a multi-service financial platform. Continuous innovation, customer-centric services, and technology-driven solutions have supported CRED's growth in India's competitive digital payment market. Overall, CRED has established itself as one of India's leading FinTech companies by focusing on premium customers, secure digital transactions, and innovative financial products. The growth of CRED UPI reflects the company's commitment to enhancing digital payment experiences and contributing to India's cashless economy.

Revenue model:

CRED's **revenue model** in digital payments is based on multiple income sources rather than charging users directly for UPI transactions. The company earns revenue through commissions on credit card bill payments, lending partnerships, merchant collaborations, payment gateway services, and commissions from financial products such as insurance and personal loans. CRED UPI also helps the company increase user engagement, enabling it to cross-sell high-value financial services and strengthen its ecosystem. This diversified revenue model supports CRED's growth while offering users a seamless and rewarding digital payment experience.

Business Model :

CRED UPI operates on a platform-based business model that combines digital payments with rewards and financial services. It attracts users by offering a secure UPI payment experience,

cashback, rewards, and exclusive offers for transactions. Instead of relying only on payment processing, CRED generates revenue through partnerships with brands, lending products, merchant commissions, and other financial services. By focusing on premium, creditworthy users, CRED strengthens customer engagement while expanding its digital payment ecosystem and increasing transaction volumes.

SWOT Analysis:

SWOT Analysis is a strategic planning tool used to evaluate the Strengths, Weaknesses, Opportunities, and Threats of an organization, product, service, or project. It helps identify

internal and external factors that influence performance and supports informed decision-making and strategic planning.

The two internal factors—Strengths and Weaknesses—represent the organization's resources, capabilities, and limitations. The two external factors—Opportunities and Threats—refer to market trends, competition, technological changes, government regulations, and other environmental influences that can affect the organization's success.

SWOT analysis provides a structured framework for assessing the current position of a business, enabling managers to leverage strengths, address weaknesses, capitalize on opportunities, and minimize potential threats. It is widely used in business management, marketing, strategic planning, and academic case studies because of its simplicity and effectiveness.

For a case study such as Growth of CRED UPI in Digital Payments, SWOT analysis helps evaluate CRED UPI's competitive position, identify its advantages and challenges, and assess the opportunities and risks in India's rapidly growing digital payments ecosystem.

Strengths:

1. Strong Brand Reputation – CRED has established a trusted brand among financially responsible and premium users.
2. Secure Payment Platform – It provides secure UPI transactions with advanced encryption and fraud prevention measures.
3. Attractive Rewards and Cashback – Loyalty programs, cashback, and exclusive offers encourage customer retention and increased usage.
4. Innovative Financial Ecosystem – CRED integrates UPI with credit card management, bill payments, and other financial services.
5. User-Friendly Interface – The application offers a simple, fast, and convenient payment experience.

Weaknesses:

1. Limited customer base due to its focus on credit card users.
2. Lower market share than major competitors.
3. High dependence on cashback and reward programmes.
4. Limited penetration in rural and semi-urban markets.
5. High customer acquisition and operational costs.

Opportunities:

1. Rapid growth of digital payments in India.
2. Expansion into rural and semi-urban markets.
3. Diversification into lending, insurance, and investment services.
4. Government initiatives promoting cashless transactions.
5. Increasing smartphone and internet penetration.

Threats:

1. Intense competition from PhonePe, Google Pay, and Paytm.
2. Frequent changes in RBI and NPCI regulations.
3. Rising cybersecurity and online fraud risks.
4. Customer switching due to competitor offers and incentives.

5. Data privacy concerns and technological disruptions.

Findings:

- CRED UPI has experienced significant growth due to the increasing adoption of digital payment systems and UPI transactions in India.
- The platform has built a strong brand image by targeting financially responsible users and offering a premium customer experience.
- Rewards, cashback, and exclusive offers have played a major role in attracting and retaining users on the CRED UPI platform.
- The security and reliability of CRED UPI have increased customer trust, leading to higher user satisfaction and transaction frequency.
- Despite its growth, CRED UPI has a smaller market share compared to leading competitors such as PhonePe and Google Pay.
- The company's focus on credit card users has limited its reach among the broader population, especially in rural and semi-urban areas.
- Government initiatives such as Digital India and the promotion of UPI have positively influenced the growth of CRED UPI and digital payments.
- Increasing smartphone penetration and internet accessibility have contributed to the expansion of CRED UPI's user base.
- Intense competition and changing regulatory policies continue to pose challenges for CRED UPI's long-term growth and market expansion.
- Future growth opportunities for CRED UPI lie in expanding its customer base, strengthening merchant partnerships, introducing innovative financial services, and improving its presence in underserved markets.

Conclusion:

CRED has played an important role in the growth of digital payments in India by expanding its services beyond credit card bill payments to include UPI transactions. Its user-friendly interface, secure payment system, rewards, and premium customer experience have encouraged more people to adopt digital payment methods. Although CRED faces strong competition from larger UPI platforms, it has successfully built a loyal customer base among financially responsible users. As India's digital payment ecosystem continues to grow, CRED's focus on innovation, security, and value-added financial services will help strengthen its position and contribute to the country's journey toward a cashless economy.

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